Cash & Debt — Assumption Notes

LBOMODEL4 · ZoomInfo (GTM) · Written so a 16-year-old can follow · Google Doc style

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For every line below you get: What this is and What it is required for (each ≤30 words), then Growth trajectory, Source, Verbatim, Why reasonable, and Major Variable.

Cash, EOP

What this is

Cash at year-end sitting in the company's bank account after the year's cash moves.

What it is required for

Required so the model shows how much cash is left on hand; here it stays at the $50m minimum.

Growth trajectory

0% excess. Cash EOP held at minimum $50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.

Source

REASONABLE: hold operating cash at model minimum $50m

https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm

Verbatim

EQ: F144=$D$16 (Minimum cash desired). Filing cash was ~$179.9m at close; excess above $50m funded Sources (D27).

Why reasonable

Keeping only $50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.

Major Variable

NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

Less: Minimum cash desired

What this is

The smallest cash pile the company must keep so it can pay bills and run normally.

What it is required for

Required as a safety floor. Cash above this can be used to pay down buyout debt.

Growth trajectory

$50m flat min cash every year (Sources D16). Same floor all periods.

Source

REASONABLE: Minimum cash desired = $50m in Sources

https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm

Verbatim

EQ: F150=−$D$16. Sources D16=50. Excess cash at close = filing cash − 50 → D27.

Why reasonable

The $50m floor is the cash the business must keep to run day to day.

Major Variable

YES — OUTFLOW of usable cash (locked as minimum). NET − vs using that cash to cut debt, but needed so the company can operate.

Plus: Free cash flows generated during period

What this is

Free cash flow: leftover cash after running the business, interest, and needed reinvestment.

What it is required for

Required to pay down loans. More free cash flow usually means a stronger LBO for equity owners.

Growth trajectory

+5% sales-driven. FCF $ grows each year with AI_Operating (~$123m→~$248m). Not a flat dollar.

Source

REASONABLE: FCF for sweep = AI_Operating FCF after interest

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim

Ctrl+F: 50-100% of annual excess free cash flow

EQ: F152=AI_Operating!D21. That FCF already nets CapEx and ΔNWC from Drivers.

Why reasonable

This is the cash the deal actually makes after interest. It is what can pay down loans.

Major Variable

YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

Revolver, EOP

What this is

A backup credit card-style loan the company can draw if it needs short-term cash.

What it is required for

Required as emergency funding capacity. In this case it stays at $0 because free cash covers needs.

Growth trajectory

0$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.

Source

CAUTION — revolver capacity $350m but draw = $0 in base path

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim

EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.

Why reasonable

The revolver is a rainy-day credit line. In this case we do not need to borrow on it.

Major Variable

NO — not used. If drawn it would be an INFLOW of cash but also NET − (more debt). Here it is idle.

Term Loan A, BOP

What this is

Term Loan A starting balance — the senior bank loan taken to help buy the company.

What it is required for

Required to track the biggest loan that gets paid first. Paying it down raises equity value at exit.

Growth trajectory

−1%/yr mandatory + 100% sweep. TLA BOP starts $457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.

Source

REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA

https://ctacquisitions.com/acquisition-financing/

Verbatim

EQ: F162=$D$29 (457.8). Was a stale ~$2.9bn hardcoded loan — replaced with GTM Sources stack.

Why reasonable

Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.

Major Variable

YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

Mandatory paydown $ (TLA)

What this is

The fixed yearly amount lenders force you to repay on Term Loan A (1% of the original loan).

What it is required for

Required by the loan contract. It steadily shrinks debt even before extra cash sweep paydowns.

Growth trajectory

1%/yr of original TLA (Drivers C17). Flat $ amort each year (=0.01×$457.8m), not 5–10% old hardcodes.

Source

REASONABLE: Drivers C17=1% mandatory amortization

https://clearvaluelending.com/glossary/term-loan-b

Verbatim

Ctrl+F: minimal amortization (1% annually)

EQ: F163=$D$29*Assumptions_Drivers!$C$17.

Why reasonable

Lenders require a small fixed paydown each year even before the cash sweep.

Major Variable

YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

Cash sweep (paydown from excess cash flows)

What this is

Extra free cash sent to repay Term Loan A after the required 1% payment is made.

What it is required for

Required in this LBO to cut debt fast. Sweeping cash to debt is a main way the buyout wins.

Growth trajectory

100% sweep (Drivers C18). Sweep $ = max(0, FCF − TLA mand − TLB mand); grows as FCF grows.

Source

REASONABLE: Drivers C18=100% excess FCF sweep to debt

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim

Ctrl+F: 50-100% of annual excess free cash flow

Ctrl+F: typically modeled at 100%

EQ: F164=MAX(0,AI_FCF−mandTLA−mandTLB)*C18. Priority: Term Loan A first.

Why reasonable

A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.

Major Variable

YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

Cash sweep %

What this is

The share of leftover free cash that must go to debt paydown — here set to 100%.

What it is required for

Required to define the paydown rule. 100% means almost all extra cash goes to loans, not dividends.

Growth trajectory

100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.

Source

REASONABLE: cash sweep % = Drivers C18 = 100%

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim

Ctrl+F: typically modeled at 100%

EQ: sweep dollars in F164 use Assumptions_Drivers!$C$18.

Why reasonable

100% means we model using essentially all excess free cash to repay debt.

Major Variable

YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

Term Loan B, BOP

What this is

Term Loan B starting balance — the next loan behind Term Loan A in repayment priority.

What it is required for

Required to track the second loan. It gets the small required paydown while TLA takes most sweep cash.

Growth trajectory

−1%/yr mandatory only. TLB starts $274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.

Source

REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA

https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/

Verbatim

EQ: F170=$D$30. Rate Drivers C28=SOFR+5%. Mandatory = C17× original TLB.

Why reasonable

Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.

Major Variable

YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

Mandatory amortization $ (TLB)

What this is

The fixed yearly amount lenders force you to repay on Term Loan B (1% of the original loan).

What it is required for

Required by the loan contract. It reduces Term Loan B a little each year.

Growth trajectory

1%/yr of original TLB (Drivers C17). Flat $ amort (=0.01×$274.7m) each year.

Source

REASONABLE: same 1% mandatory rule on TLB

https://clearvaluelending.com/glossary/term-loan-b

Verbatim

Ctrl+F: minimal amortization (1% annually)

EQ: F171=$D$30*Assumptions_Drivers!$C$17.

Why reasonable

Same 1% lender rule as Term Loan A, applied to the Term Loan B size.

Major Variable

YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

Senior Note, BOP

What this is

Senior Notes starting balance — bond-like debt that usually is not paid down a little each year.

What it is required for

Required to track junior debt that mostly waits until exit or refinance, while still charging interest.

Growth trajectory

0% amort. Senior Notes $183.1m (Sources 1.0×) stay flat — bullet at maturity; no annual paydown in model.

Source

REASONABLE: Notes principal = Sources D31; bullet (0% mandatory)

https://ctacquisitions.com/acquisition-financing/

Verbatim

EQ: F178=$D$31; F179=0. Interest =(SOFR+3.5%)×Notes BOP. Balance does not amortize in-forecast.

Why reasonable

Notes usually do not get paid down a little each year; they wait until the end unless refinanced.

Major Variable

YES — debt still outstanding. NET − vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

Interest — Term Loan A

What this is

Yearly interest cost on Term Loan A — the fee for borrowing that bank loan money.

What it is required for

Required because interest is a real cash bill. As Term Loan A falls, this cost should fall too.

Growth trajectory

8.3% rate flat (Drivers C27=SOFR+4%). Interest $ falls as TLA balance falls from sweep.

Source

REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0%

https://www.global-rates.com/en/interest-rates/sofr/historical/2024/

Verbatim

Ctrl+F: 4.30

Ctrl+F: SOFR + 400-500 bps

EQ: F208=F162*Assumptions_Drivers!$C$27. IS interest F50=−(TLA+TLB+Notes interest).

Why reasonable

Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.

Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

Interest — Term Loan B

What this is

Yearly interest cost on Term Loan B — usually a bit higher than Term Loan A.

What it is required for

Required to capture the cash cost of the second loan. It stays painful until that balance shrinks.

Growth trajectory

9.3% rate flat (Drivers C28=SOFR+5%). Interest $ edges down only with 1% TLB amort.

Source

REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0%

https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/

Verbatim

Ctrl+F: SOFR + 300-500 basis points

EQ: F209=F170*Assumptions_Drivers!$C$28.

Why reasonable

Term Loan B costs more than Term Loan A because it is riskier for lenders.

Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO. Higher rate than TLA, and the balance falls only slowly.

Interest — Senior Note

What this is

Yearly interest cost on the Senior Notes while that Notes balance stays outstanding.

What it is required for

Required because Notes keep charging interest every year until exit or a refinance clears them.

Growth trajectory

7.8% rate flat (SOFR+3.5%). Interest $ stays roughly flat because Notes principal does not amortize.

Source

REASONABLE: Notes ≈ SOFR+3.5% (same stack used in DCF cost of debt)

https://www.global-rates.com/en/interest-rates/sofr/historical/2024/

Verbatim

EQ: F210=F178*(Assumptions_Drivers!$C$14+0.035). Principal flat → interest roughly flat.

Why reasonable

Notes interest keeps showing up every year while the Notes balance stays outstanding.

Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO until exit or refinance clears the Notes.

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